

RAZORPAY

Strategy Consulting Report

The "Financial Operating System" Strategy

Prepared by Ridhi Jain | July 2026

Executive Summary

Core Thesis: Razorpay is transitioning from a highly commoditized Payment Gateway into an indispensable, high-margin **B2B Financial Operating System**.

Metric	Value
Valuation	\$7.5 Billion+
Core Product	Payment Gateway (1-3% fee)
Growth Engine	RazorpayX (Banking/SaaS)
Moat	Ecosystem Lock-in

Recommendation: Accelerate the cross-selling of RazorpayX Payroll and Capital to existing gateway merchants. The payment gateway is merely a customer acquisition tool; the real profit is in software and lending.

The Commoditization Problem

The Payment Gateway Trap:

The UPI revolution in India (zero MDR) forced payment gateways to operate on razor-thin margins. Payments are now a commodity. If a competitor offers a 0.1% lower fee, merchants switch.

Razorpay's Solution:

Don't fight a price war on payments. Instead, use payments as a **distribution engine** to acquire merchants, then cross-sell them high-margin B2B SaaS.

The Revenue Ecosystem (B2B SaaS Pivot)

Product	Revenue Model	Margin Profile	Purpose
Payment Gateway	Transaction Fees	Low	Customer Acquisition
Razorpay POS	In-store swipes	Low-Med	Omnichannel presence
RazorpayX	Subscriptions / Payout fees	High	Revenue stability
Razorpay Payroll	SaaS per-employee fee	Very High	Ultimate Lock-in

The Strategy: Once a merchant integrates Razorpay for payments, RazorpayX for vendor payouts, and Razorpay Payroll for employee salaries... they **never leave**.

VRIO Analysis

Resource	V	R	I	O	Verdict
Payment Gateway Tech	✓	✗	✗	✓	Parity
API Developer Experience	✓	✓	✗	✓	Temporary Advantage
Unified Data Graph	✓	✓	✓	✓	Sustained Moat

The Data Advantage: Because Razorpay sees a merchant's incoming revenue (Gateway) and outgoing expenses (RazorpayX), they have the ultimate data graph to underwrite working capital loans with near-zero risk.

Strategic Recommendations

1. Scale Razorpay Capital

Leverage the proprietary data graph to offer instant, pre-approved working capital loans to SME merchants.

2. Penetrate Offline Retail (POS)

Integrate the Ezetap acquisition seamlessly to capture the 80% of Indian retail transactions that still happen offline.

3. IPO Positioning

Position the upcoming IPO not as a "Payments Company" (low multiple), but as a "B2B Financial SaaS Platform" (high multiple).